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Yale Program on Financial Stability
Lessons Learned

Masaaki Shirakawa

By Mercedes Cardona and Benjamin Hoffner

Masaaki Shirakawa became governor of the Bank of Japan (BOJ) in 2008, after a long tenure at the central bank. His career spanned a series of significant crisis events in Japan's economic history, including the economic boom in the 1980s, which was followed by a period of stagnation characterized by low GDP growth, multiple recessions, and persistent deflation. Shirakawa led the BOJ's response during the Global Financial Crisis of 2007–09 (GFC). He also initiated the central bank's contingency plan in response to the 2011 tsunami, earthquake, and Fukushima nuclear disaster before stepping down near the end of his term in 2013. This Lessons Learned summary is based on an interview with Shirakawa held in January 2025; the full transcript may be found here.

The central bank and government officials must be willing to work together and make difficult decisions to fight a crisis even in the face of contrary public opinion and political uncertainty.

During the 1980 and '90s, Japan experienced a period of rapid economic growth and speculation fueled by excess liquidity, financial deregulation, and confidence in the export model that had proven so successful in previous decades. Banks expanded lending aggressively, relying on funds raised through capital markets, and corporate leverage increased. Bubbles in several asset classes developed: real estate, equity stocks, and government bonds, accompanied by problematic lending. When these bubbles burst, first in 1991 and then during the Asian Financial Crisis of 1997–98, Japan's bank-dominated financial system found itself with escalating numbers of nonperforming loans (NPLs).

In May 1990, at the height of the bubble economy, Shirakawa says he and his boss in the bank's new Financial and Payment System Department were tasked by then-governor, Yasushi Mieno with creating a blueprint for addressing a banking crisis. The two traveled to meet with other central banks and financial institutions ranging from the US Federal Reserve Board (Fed) and Federal Deposit Insurance Corporation (FDIC) to European central banks and the Bank for International Settlements, seeking to understand how they would cope with the consequences of a financial collapse. Returning to Japan, they realized they lacked the tools to handle the crisis they were likely facing.

Acquiring the needed tools was difficult because of public understanding and political constraints, explained Shirakawa. The BOJ provided liquidity to banks as lender of last resort, he noted.

> This was good in the sense that the financial crisis on a scale which we subsequently saw in the US was avoided. But at the same time, because of this, politicians and ordinary citizens could not understand why measures such as an injection of public money was needed.

Liquidity did not address the issue of solvency, which was the real problem, said Shirakawa. They had learned from their study that what was needed was a bank resolution framework that included public funding, but the central bank faced pushback from the Ministry of Finance and elected officials who were concerned about the moral hazard of such a tool. In addition, the general public felt that the banks' nonperforming loans were a result of their own bad behavior during the boom and didn't want to spend public money to bail them out, Shirakawa explained.

> The Ministry of Finance did not understand how severe the economic consequences would be without the proposed measures. Essentially, it was a lack of a basic macroeconomic analysis. To be fair, this lack of macroeconomic understanding was not confined to the Ministry of Finance alone. In the early 1990s, many economists were against this kind of idea, and they often said, "No, no, troubled banks have to just be liquidated by using deposit insurance payouts." We have a Japanese version of the FDIC, and the deposits are protected up to a certain amount by Japan's Deposit Insurance Corporation.
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> True, that is good in terms of avoiding moral hazard. And many economists who were trained in peaceful times without severe financial crises, simply argued for liquidation, which could be described as "Old Testament theory," borrowing words from [former US Treasury Secretary] Tim Geithner. They did not understand how severe the outcome would be if we did not provide public money. In sum, on both political grounds and economic grounds, the Ministry of Finance did not agree with our analyses or our proposal. And that was very frustrating for me.

Shirakawa noted that finding the political will necessary to affect policy changes like forbearance and spending public money historically requires a shock that propels politicians into action and bolsters public support. In the United States, during the GFC, that shock was the fall of Lehman Brothers, which enabled Congress to pass the $700 billion Troubled Assets Relief Program (TARP) and motivated policymakers to impose bank stress testing and other preventive measures.

In Japan during the 1990s, without such a trigger, events unfolded differently, and Japan endured a decade of economic stagnation, low growth, and deflation. Shirakawa remembered:

> What is most difficult is how to forge a consensus about the need for injection of public capital or taxpayers' money and having legal frameworks that enable an orderly resolution. In a democratic society, the reality is, we need some kind of trigger. The trigger is either outright financial crisis or the rational persuasion by experts, but the latter is quite difficult. I often wonder what would have happened if the Bank of Japan had not acted as a lender of last resort. The consequence of inaction by the central bank as a lender of last resort would have been very severe, but at the same time, it might have changed the view of the general public and politicians about the need for injection of public capital, [even though] resulting costs such as high

> unemployment and disintegration of society are so high. So frankly speaking, I still do not know what the right answer is.

Finding the political will to act is often challenging, concluded Shirakawa, however, "government and the central bank should make every effort at preventing the collapse of the financial system, even though it is not easy for them to earn the support from the general public, in terms of providing public money."

In crisis and noncrisis periods, central banks must stay in tune to developments occurring in the socioeconomic environment that might impact their ability to fulfill their mission. Even the strongest, most independent central bank does not operate in a vacuum.

Shirakawa noted that his views on the mission and "the time-honored role" of central banks have evolved with time. "When I was a young staffer, my view was rather simpleminded: An independent central bank can and should do what it deems is right," he said. "But I have come to realize that the situation is sometimes much more complicated." The very mission of a central bank said Shirakawa, is "to provide a stable monetary and financial environment that is most conducive to sustainable economic growth. Monetary policy is just one aspect of broader central bank policy," as are the essential roles of lender of last resort and the provider of payments services. He continued by clarifying that as he had experienced over the years, many factors and developments can impact how the central bank goes about fulfilling its role.

In a democratic society, Shirakawa explained, elections can alter the governing authority and that can affect the practical independence of the central bank if the public deems it to be operating without considering their views. As governor of the BOJ, Shirakawa had to contend with arguments that the bank should print more money to fight deflation, while its own analysis argued against it. The party pressuring the bank to print more money eventually was elected by a large margin, said Shirakawa.

> I was in a very difficult position. The point is that if the central bank is regarded as an arrogant or elite institution that does not understand at all how ordinary citizens are feeling, central bank independence would not be supported by them, and eventually the central bank would lose independence. So, for central banks, the question [of] how to get at least a minimum amount of support and trust from ordinary citizens is quite important, although this is sometimes a daunting task. That's why I said gaining some support from the public is needed in a democratic society, even though the central bank is legally independent.

As the world's economies face the challenges of climate change and the evolution of decentralized finance and digital currencies, central banks may need to think more deeply about their mission and keep a close eye on such developments, Shirakawa suggested. But the political decisions should be left to politicians while the bank remains focused on its mission, explained Shirakawa.

> Regardless of how the economy and the financial market change, the basic function of a central bank remains the same . . . And once central bankers understand this, how to act in the event of a financial crisis is [to apply] this basic philosophy. Central banks have to understand how important their role is in maintaining financial stability.
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> Second, central bankers should be familiar with what's happening in financial markets. At the end of the day, knowledge of what's happening in financial markets is the very basis for knowing what central banks should do. The exposure to financial markets is quite important. Central banks are not ivory-tower institutions. A central bank is a bank for banks.

Shirakawa also commented that issues like climate change and environmental, social, and governance policies should be monitored by central banks and their impact on monetary policy and inflation considered.

Recurring meetings and lines of communication among central banks help establish networks that can be used effectively in addressing financial crises.

Shirakawa spoke highly of developing and maintaining relationships with peers outside one's country and provided examples of how this could aid in crisis preparation and fighting.

Japan was a driver on the formation of the Chiang Mai Initiative in 2000, after its efforts to establish an Asian monetary fund floundered. The initiative, a multilateral currency swap among the members of the Association of Southeast Asian Nations (ASEAN), is designed to address short-term liquidity difficulties. Although it has not been used since it was established, Shirakawa says the very existence of this backstop gives the participating countries a sense of safety, and the framework is being improved continuously. Japan is also a member of other regional structures, such as the ASEAN Plus 3 group and the Executive Meeting of East Asia-Pacific Central Banks, with 11 member central banks in the region, which also provide regional support and opportunities for learning and cooperation.

Another example Shirakawa cited occurred during the GFC. One of the most effective actions in preventing the crisis from becoming another Great Depression, he said, was the establishment of US dollar swap lines among the Fed, the European Central Bank, and the central banks of the United Kingdom, Canada, Japan, and Switzerland. As the GFC worsened, there quickly arose a liquidity shortage in US dollars in the major economies. The Fed couldn't lend to foreign banks, and the central banks that could needed dollars, so the swaps functioned as a global lender of last resort. Shirakawa explained:

> This was the single most important action [during the GFC]—a global lender of last resort. It is worth emphasizing that this agreement was made in a matter of a few days without any media leak; central banks' cooperation was so powerful. . . .

Thanks to the existing networks facilitated by regular meetings such as the Basel initiatives and other central bank gatherings, once the central banks decided to provide liquidity, the technical details were easily worked out. Shirakawa recalled:

> The central bank cooperation is well established, and human networks among central banks are so tight. Every two months we are getting together in Basel. Close contacts [exist] not only among governors but also at the staff level. So, once we decided on providing dollar liquidity, then the technical details could be easily worked out by using the existing human network.

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